



**BUSN603 – CORPORATE GOVERNANCE AND RISK
MANAGEMENT**

Semester 1 - 2026

Assessment 1

**The Governance Gap: A Critical Reflection on Formal Frameworks
versus Organizational Reality**

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Executive Summary

This reflective report aims to critically analyze the ongoing issue of the 'governance gap' existing between corporate governance frameworks and the behavior within organizations. This is done using insights gained during the first five weeks of the unit, with case studies involving the Volkswagen emissions scandal, the agency problem in Enron, and the ESG framework employed by Woolworths Group.

It has been found that the nature of governance is reduced to mere compliance or "tick-the-box" activity in scenarios where there is no effective board involvement or where the boards have compromised their independence due to close alignment with executives. The study has found that while governance structures such as the one in Enron or Volkswagen might look very sound on paper, they can be very easy to undermine with certain high-pressure environments. However, the study has come across new mechanisms used by companies today, such as the ESG framework at Woolworths.

The report is completed by a personal reflection on how the perception of governance moved from that of a legal necessity to a moral imperative. An action plan is put forth, focusing on heightened caution in terms of board members and the inclusion of stakeholder obligations in strategic operations.

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1. Introduction

Corporate governance is frequently marketed as a robust mechanism for ethical oversight, yet stakeholders often observe outcomes that suggest it remains a mere compliance-driven exercise. This report addresses the "governance gap", the space where formal risk management fails to prevent unethical behavior. Drawing on the first five weeks of the unit, this reflection examines how the stewardship responsibility of a board is often compromised by agency dilemmas and poor structural oversight. By investigating real-world contexts, this analysis evaluates the extent to which organizational actions truly align with environmental, social, and stakeholder responsibilities.

2. Discussions: (Integrating weekly case studies)

2.1. Section 1: The Integrity Gap – Corporate Culture vs. Compliance (Week 2)

Volkswagen Emissions Scandal

The Volkswagen scandal is a classic example of how a multinational company operated contrary to its formal environmental policy framework. The company was exposed for using "defeat device" software in its cars, whereby cars would pollute more than the allowable level when they were off the test.

A major discrepancy existed between what VW formally stood for and its actual organizational behavior. Whereas the formal structure seemed to indicate that VW followed all the environmental policies, the underlying culture of the company favored achieving performance targets over ethical considerations. Managers pushed engineers to achieve high efficiency levels and low emissions to meet certain goals and created a "compliance-only" culture that treated rules as obstacles that should be circumvented.

In this case, we have a clear case of Stewardship Responsibility failure. Here, the board failed in monitoring managers and promoting transparency within the company, which are important components of governance. The results were devastating both for the company's reputation and for its losses.

2.2. Section 2: Bridging the Gap – Integrated ESG Leadership (Week 3)

Woolworths ESG Initiatives

Unlike the case studies of failures in governance at VW and Enron, Woolworths Group (ASX: WOW) is a modern example of efforts towards closing the governance gap with its 2024 Sustainability Report.

Woolworths closes the governance gap by transitioning from "passive compliance" to "integrated ESG leadership." The company understands that climate change and modern slavery, for example, are no longer mere social problems but "material" financial issues as well. With a focus on auditing high-risk supply chains and 100% renewable energy procurement, it ensures that its decision-making process reflects its values.

The company implements a "Double Materiality" framework, assessing how its operations affect the outside world and, conversely, how the outside world affects the company. Crucially, it has established a

link between the pay of its executives and ESG achievements. Such a structure closes the agency problem and incentivizes sustainable behavior, fulfilling Principle 7 of the ASX.

2.3. Section 3: The Accountability Gap – Agency Theory and Board Structure (Weeks 4 & 5)

Board Structure & Enron's Agency Failure

The 2001 collapse of the Enron Corporation is one such perfect example of the "Agency Dilemma". In this case, the board of directors acted as a "rubber stamp" for executive management, even voting to suspend the corporation's code of ethics, which allowed the Chief Financial Officer (CFO) to enter into off-book partnerships to hide billions of dollars of corporate debt.

At Enron, there was no distinction between CEOs and duality, which made structural independence impossible. The board failed to act as a watchdog, since it lacked vigilance and was too close to the management. Despite having the proper structures in place, the situation involved fraudulent manipulation of financial reporting to create the illusion of profit-making.

This situation is consistent with Agency Theory and Adam Smith's observation regarding the inability of corporate managers to be equally vigilant about watching other people's money as they would be for their own. This occurred due to structural weakness in the board of directors, where there was not much difference between the positions of the chair and the CEO, leading to groupthink. The results led to a loss of \$70 billion in shareholder value and the implementation of the Sarbanes-Oxley Act.

3. Conclusion

The case studies of Volkswagen, Enron, and Woolworths Group clearly illustrate that governance and risk management are not systems that execute themselves; it is crucial for the success of those systems that there is an ethical culture in place, together with the independent functioning of the board itself. In fact, the so-called "governance gap," witnessed in all three cases, illustrates that whenever the board seeks short-term financial gains or simply acts in a "rubber stamping" mode, policies do nothing to stop an organization from becoming ethically corrupt. On the other hand, integrating ESG into the leadership process and tying managerial accountability with such social and environmental results provides a real tool for ensuring managers' adherence to organizational principles.

4. Key Learnings

- a) Culture vs Compliance: From the Volkswagen case study, I have learned that a high-pressure company culture can readily circumvent official environmental and risk procedures if the "tone at the top" prioritizes goals over transparency.
- b) Independence Matters Most: From my study of Enron and the ASX Corporate Governance Principles, I have realized that the structural independence of a board, particularly keeping the positions of Chairman and CEO separate, is most critical in protecting against groupthink and agency issues.

- c) ESG and Pay: From Woolworths, I learned that “Double Materiality” and aligning executive remuneration with ESG criteria are necessary instruments in implementing ethical principles into management practice.

5. Action Plan: "What would I do now?"

Due to the completion of this unit, I have developed a new perception regarding the practice of corporate reporting. Rather than taking sustainability reporting and risk management models at face value for the organization’s ethical well-being, I will dig deeper into issues such as the board membership, independence of the expert committees, and how exactly they use metrics to influence executives. When working in my future careers, I will carefully monitor whether there is a connection between the “ethical intentions” of the firm and the real actions it takes.

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